



DEFENSE COUNTERINTELLIGENCE AND SECURITY AGENCY

FEDERAL ACQUISITION REGULATION (FAR) PART 8 LIMITED SOURCE JUSTIFICATION (LSJ)

Procurement Title: Microsoft (MS) Enterprise License Agreement (ELA) Software Licenses
Department of Defense (DoD) Enterprise Software Initiative (ESI) Blanket Purchase Agreement (BPA) Contract: N6600119A0006
Delivery Order: HS002124F0030
Estimated Value: [REDACTED]
Limited Source Authority: Federal Acquisition Regulation (FAR) 8.405-6(a)(1)(i)(B)

I. IDENTIFICATION OF THE REQUIRING AND CONTRACTING ACTIVITY.

The United States (US) Department of Defense (DoD) Defense Counterintelligence and Security Agency (DCSA) Contracting and Procurement Office (CPO) proposes to execute a delivery order modification on behalf of the Office of the Chief Information Officer (OCIO).

a. Requesting Activity/Program Office:

DCSA - Office of the Chief Information Officer
27130 Telegraph Road
Quantico, VA 22134

b. Contracting Activity:

DCSA - Contracting and Procurement Office
27130 Telegraph Road
Quantico, VA 22134

II. NATURE AND/OR DESCRIPTION OF THE ACTION BEING APPROVED.

This is an individual Limited Sources Justification (LSJ) to execute a modification to contract N6600119A0006, delivery order HS002124F0030 with Minburn Technology Group, LLC at 9716 Arnon Chapel Rd, Great Falls, VA 22066. The purpose of this document is to obtain the necessary approvals for a limited source acquisition in accordance with FAR 8.405-6(a)(1)(i)(B) – Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized.

Per Defense Federal Acquisition Regulation Supplement (DFARS) 208.7402, departments and agencies shall fulfill requirements for commercial software and related services in accordance with the DoD ESI and this avenue is considered a mandatory source of supply. DFARS 208.74 requires authorized software buyers and requiring officials to review the availability of an existing DoD ESI agreement before pursuing another acquisition method. The purpose of DoD ESI is to leverage DoD buying power by obtaining discounted pricing for greater quantities purchased of information technology products. Microsoft does have six (6) authorized resellers of the required Microsoft products, which are contracted on the DoD ESI via BPAs. However, utilizing the existing Microsoft enterprise license agreement with the incumbent will help mitigate the risk of possible delays, duplication in cost and time, and meet the needs of DoD mandatory sources in accordance with DFARS 208.7402.

III. DESCRIPTION OF SUPPLIES OR SERVICE REQUIRED TO MEET THE AGENCY'S NEEDS.

DCSA OCIO has a requirement to convert Microsoft Office 365 E3 to G5 licenses and to adjust the quantity of existing licenses for option period one (1), from 01 May 2025 through 30 April 2026. The total delivery order value is estimated to increase by [REDACTED]

DCSA operates a desktop solution using the Microsoft Operating System (OS), Microsoft Office and Microsoft applications, which are unique and highly specialized IT resources within the computing and communication landscape. Microsoft Client Access Licenses (CALs) are being used for connections to the Exchange, SharePoint, System Center Configuration Manager and Project servers. The MS ELA provides access to the latest technology and problem resolution support 24 hours per day, seven days per week. Microsoft O365 has been the standard productivity cloud used throughout DCSA for cloud services, device management, and security support.

In November 2022, the DoD introduced its Zero Trust (ZT) strategy and implementation roadmap, detailing the Department's cybersecurity objectives to achieve Target Level ZT by the close of fiscal year (FY) 2027. Per DoD memo "Deploying Microsoft Office 365 G5 Licenses to Support Target Level Zero Trust", all DoD Components must initiate implementation of the G5 suite by 03 June 2024 and must complete full G5 implementation by 02 June 2025 in an effort to accelerate and enhance the Department's cybersecurity posture and ability to reach Target Level ZT. To comply with the ZT objectives, the full suite of Microsoft Office 365 G5 must be deployed across the Non-Secure Internet Protocol Router (NIPR) enterprise, to minimize attack vulnerabilities and hinder adversaries from unrestricted movement across networks, and ensure stronger protection for critical data. Microsoft Office 365 G5 is an enterprise-level cloud-based license that combines best-in-class productivity applications with advanced security, compliance, and analytical capabilities. The G5 license is a mandatory upgrade implemented by the DoD CIO to ensure ZT compliance.

The table below details the changes made per the E3 to G5 upgrade and the minor license quantity adjustment for the proposed action:

Change effective - Option Year One

CLIN	Item Description (Include Mfr. Product/Stock No. if available)	Part#	Existing Qty	New Quantity	Change
	Microsoft Office 365 Client Licenses				
1001	O365 G3 FSA DoD Sub Per User	DTY-00001	3,760	0	-3,760
	O365 G3 DoD Sub Per User	DTU-00004	10,240	0	-10,240
	O365 G5 DoD Sub Per User	DXV-00001	500	0	-500
	Win E3 FSA ALng Sub Platform Per User	AAA-10777	3,760	0	-3,760
	Win E3 ALng Sub Platform Per User	AAA-10798	6,240	0	-6,240
	ECAL Bridge O365 FSA Platform Sub Per User	AAA-12436	3,760	0	-3,760
	ECAL Bridge O365 Platform Sub Per User	AAA-12428	10,240	0	-10,240

	M365 G5 Unified FSA Renewal DoD Sub Per User	AAL-45747	0	3,760	3,760
	M365 G5 Unified DoD Sub Per User	AAL-45742	0	6,240	6,240
	M365 G5 Unified DoD Sub Per User	AAL-45742	0	4,000	4,000
	M365 G5 Unified DoD Sub Per User	AAL-45742	0	500	500
	Additional Client Subscriptions				
1002	Power Apps Premium DoD Sub Per User	SEP-00001	260	260	No Change
	Power Automate Premium DoD Sub Per User	1SN-00001	262	260	-2
	Power BI Premium P1 DoD Sub	HKN-00002	1	0	-1
	Power BI Premium USL AO DoD Sub Add-on	9IP-00002	263	260	-3
	Project P3 DoD Sub Per User	DXK-00001	276	276	No Change
	Project P3 FSA DoD Sub Per User	DXK-00001	274	274	No Change
	Visio P2 DoD Sub Per User	DWK-00003	331	331	No Change
	Visio P1 FSA DoD Sub Per User	KRR-00001	50	50	No Change
	Visio P2 FSA DoD Sub Per User	DWK-00003	410	410	No Change
	Audio Conferencing DoD Sub Per User	DYK-00001	14,000	14,000	No Change
	Audio Conferencing DoD Tenant Sub	RGR-00001	1	1	No Change
	GitHub Enterprise Sub Per User	PEY-00002	50	50	No Change
	Bing Maps Transactions ALng Sub Usage 2M Transactions	PQR-00024	2	2	No Change
	Win VDA Device ALng Sub Per Device	4ZF-00019	100	100	No Change
	Server Licenses				
1003	Exchange Server Ent ALng SA	395-02504	3	2	-1
	Win Remote Desktop Services CAL ALng SA DCAL	6VC-01253	150	390	240
	SQL Server Enterprise Core ALng SA 2L	7JQ-00343	76	76	No Change
	SQL Server Enterprise Core ALng Sub 2L	7JQ-00663	104	120	16
	SQL Server Enterprise ALng SA	810-04760	4	5	1
	CIS Suite Standard Core ALng SA 2L	9GA-00313	410	410	No Change
	CIS Suite Datacenter Core ALng SA 2L	9GS-00135	4	4	No Change
	Visual Studio Ent with GitHub ALng SA	QEJ-00003	22	16	-6
	Visual Studio Pro with GitHub ALng SA	QEK-00003	30	5	-25
	System Center DC Core ALng SA 2L	9EP-00208	976	1,080	104
	Win Server DC Core ALng SA 2L	9EA-00278	976	1,080	104
	Entra ID2 DoD Subscription Licenses				
1004	Entra ID PD2 DoD Sub Per User	JZG-00001	14,500	0	-14,500

The total anticipated amount to be obligated is [REDACTED] or [REDACTED] for this effort. The estimated total includes [REDACTED] for the adjustment in quantity of the existing licenses and [REDACTED] for the mandatory G5 license upgrades. Provided below is a breakdown of the cost and the scope increase.

Modification / Description	Base Period	Option Period 1	Option Period 2	Total Value Increase:	Scope Increase Based on the Awarded Value
Awarded (Ceiling): [REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]		
P00004 – G5 Upgrade (Est)		[REDACTED]			
P00004 - Quantity Adjustment (Est)		[REDACTED]			

Scope Determination: Conversion to the Microsoft Office 365 G5 licenses does not change the nature of the supplies being provided given that it's a mandatory upgrade of the product already purchased at the time of award. The Contracting Officer determined the change in delivery order price resulting from the proposed action, taking into account the cumulative change in delivery order price inclusive of all prior modifications, to be out of scope and ultimately requiring a limited source justification. Executing a modification to the existing order HS002124F0030 is determined to be the most advantageous and logical strategy for this effort. The requested licenses are within the scope of and available on the Contractor's DoD ESI Blanket Purchase Agreement (BPA). The proposed action to procure the license upgrade via the existing Microsoft ELA contract order streamlines the process and takes advantage of the Government's purchasing power.

IV. **AUTHORITY AND SUPPORTING RATIONALE AND THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS TO PROVIDE THE REQUIRED SUPPLY OR SERVICE.**

Authority: The authority permitting limiting of sources is FAR 8.405-6(a)(1)(i)(B), only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized.

Unique Qualifications/Supporting Rational:

Minburn Technology Group is not the sole provider of the required product(s), but they are the only contractor capable of meeting DCSA's critical timeline and mitigating the risks associated with non-compliance. Minburn is unique in that it is the only vendor which can offer an upgrade from E3 to G5 licenses as it is the only vendor with which the agency already has a Microsoft enterprise license agreement, and that upgrading saves the agency time and money. Minburn has established a relationship with Microsoft because they are the awarded contract holder for this effort and a Microsoft Gold Partner. Minburn possesses both the readily available licenses and the established procurement channels to execute this upgrade without setback. Minburn's deep understanding of DCSA's infrastructure and licensing requirements significantly mitigates the risk associated with transitioning to G5 licenses in a timely manner. Given that the upgrade was implemented during the base period, utilizing the incumbent will ensure continuity and continued implementation to minimize disruptions to critical operations, and maximizes the security benefits of the upgraded platform. Delaying the project to explore alternative solutions would not only incur significant financial penalties but also risk operational downtime, directly

impacting DCSA's missions, personnel background investigations, and security awareness programs which are critical operations. This upgrade is not merely an IT refresh, but rather it is an essential requirement driven by a mandated DoD-wide security initiative. The mandate requires all DoD Components to initiate implementation of the G5 no later than June 3, 2024, and complete full G5 implementation no later than June 2, 2025. Failing to meet these requirements can lead to restricted access to DoD networks, systems, and data. This could severely disrupt DCSA's ability to collaborate with DoD partners, access critical information, and execute mission-critical tasking, potentially hindering national security efforts. The lack of advanced security features in E3, compared to G5, increases DCSA's vulnerability to cybersecurity attacks. This heightens the risk of unauthorized access, data exfiltration, and potential compromise of information entrusted to DCSA. Failing to complete the upgrade from Microsoft to E3 to G5 license in a timely manner to meet DoD mandates is a critical misstep with potentially disastrous consequences for DCSA operating under DoD.

Additionally, OCIO requested to make adjustments in the quantities of existing licenses as a result of emerging needs and shifting requirements. This quantity adjustment will ensure that the customer's emerging needs are met, and the licensing agreement is updated to reflect these minor changes accordingly. This streamlined approach underscores Minburn's unique position within the DoD's cybersecurity landscape.

V. A DETERMINATION BY THE ORDERING ACTIVITY CONTRACTING OFFICER THAT THE ORDER REPRESENTS THE BEST VALUE CONSISTENT WITH FAR 8.404(d).

The terms, conditions, and pricing under the enterprise service agreements on DoD ESI are expected to represent the best value to the Government. DoD ESI leveraged the purchasing power of large economies of scale when they established the BPAs, which produces even greater discounts than those offered in the vendor's General Services Administration (GSA) Federal Supply Schedules. Accordingly, under those circumstances and IAW FAR 8.404(d) and DFARS PGI 208.7403(5), the Contracting Officer is confident the enterprise service agreements, via the BPAs established, will represent the best value for Government, terms, conditions, and pricing considered.

Modifying the existing order is considered to be in the best interest of the Government and is the most advantageous method of filling the Government's need, price and other factors considered. Pursuant to FAR 8.404(d), GSA has already determined the prices of supplies to be fair and reasonable by virtue of their established schedule(s). However, DoD Class Deviation 2014-O0011, dated 13 March 2014, states GSA's determination does not relieve the ordering activity Contracting Officer from the responsibility of making a determination of fair and reasonable. Thus, the Government may conduct a price analysis in accordance DFARS 208.404(a)(i) and FAR 15.404-1(b)(2).

VI. A DESCRIPTION OF THE MARKET RESEARCH CONDUCTED AMONG SCHEDULE HOLDERS AND THE RESULTS OR A STATEMENT OF THE REASON MARKET RESEARCH WAS NOT CONDUCTED.

Although Microsoft is the sole manufacturer and provider of the specified software; based on the prior market research results completed within the last twelve (12) months, it has been determined that there are multiple authorized resellers of Microsoft products under GSA, as well as the DoD ESI. However, in order to comply with DoD mandate as mentioned above, modifying the existing order is the best acquisition approach. The Notice of Intent (NOI) to execute a sole

source modification was posted on SAM.gov 17 March 2025 with a response date set for 01 April 2025. The Government received capability statements from two (2) interested vendors (listed below) in response to the publicly posted Notice of Intent to execute a Sole Source modification. The Government reviewed the responses received and those responses were submitted to the Program Office for future procurements and market research purposes.

a.



b.



DCSA OCIO engaged with Microsoft to fully grasp the details of what MS G5 license upgrade encompasses. OCIO also worked the existing ESI contract order holder, Minburn Technology Group, to obtain a market research price estimate for license upgrade for planning purposes. DCSA also reviewed all six (6) reseller ESI Contract Product and Price Lists.

VII. ANY OTHER FACTS SUPPORTING THE JUSTIFICATION

DCSA OCIO regularly conducts market research for software utilizing the mandatory sources such as GSA Advantage, NASA Solutions for Enterprise-Wide Procurement (SEWP), DoD ESI and open market via internet, phone, and email, as well as contacting DCSA partners and collaborating with other United States Government agencies to identify any additional products that may have the necessary capabilities to meet DCSA's minimum requirements. No other products have been identified that meet DCSA OCIO minimum requirements.

VIII. A STATEMENT OF THE ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS THAT LED TO THE RESTRICTED CONSIDERATION BEFORE ANY SUBSEQUENT ACQUISITION FOR THE SUPPLIES OR SERVICES IS MADE.

The Government will continue to conduct market research to determine if additional solutions exist.

CERTIFICATION

As evidenced by my signature below, I certify that the Government's minimum requirements have been verified through OCIO and any supporting data contained herein, which is my responsibility, is both complete and accurate.



Deputy Branch Chief, Customer Support
Office of the Chief Information Officer
Defense Counterintelligence and Security Agency

Contracting Officer

I certify that this justification is accurate and complete to the best of my knowledge and belief.

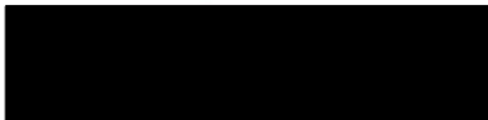


Contracting Officer
Contracting and Procurement Office (CPO)
Defense Counterintelligence and Security Agency (DCSA)

APPROVAL

Competition Advocate

This review serves as concurrence and my written determination that the aforementioned circumstances apply in accordance with 8.405-6(a)(1)(i)(B).



Competition Advocate
Contracting and Procurement Office (CPO)
Defense Counterintelligence and Security Agency